2408.TW - Nanya Technology | Full Deep Dive

Full investment research | Model assumptions and source evidence

Owner valuation update - 15 October 2026

The owner requested a gradual rerating: **4x in Q4 2026; 4.5x in Q1 2027; 5x in Q2 2027; 5.5x in Q3 2027; 6x from Q4 2027 onward.** Each valuation quarter applies its scheduled multiple to that quarter plus the following three quarters of operating profit. Q3 2026 is a past valuation window and retains its saved 6x treatment.

This changes valuation assumptions only. Revenue, product mix, costs, operating profit, outcome probabilities, shares, currency/split conventions, analytical Base and protected Excel Base are unchanged. The active **Q4 2027 ceiling is unchanged** because that quarter retains 6x. Historical research and dated before/after decisions below retain their original source dates and then-effective multiples; the current valuation table and ceiling chart use this owner schedule.

Updated October 12, 2026 | Framework 8.0 | NOT HELD | BOTTLENECK - qualified DRAM supply, with a capacity clock | High Conviction

Analytical Base: 45/60 (75%). Active Q4 2027 valuation: 6x forward four-quarter IFRS-style operating profit; earlier quarters follow the schedule above.

Snapshot: TWD 516.00 per share on September 21, 2026 close; 3,450.206 million shares, implying TWD 1,780,306.24 million equity value. Source [N7]. Price is a dated header snapshot, not a valuation input in the body.

Active horizon Q4 2027 ceiling: TWD 1,044.16/share. Q1 2028: TWD 1,100.28/share.

All financial model amounts are TWD millions, shares in millions, unless stated. Calendar and fiscal quarters coincide; fiscal year ends December 31. Q1/Q2 are Actual. Q3 2026 is the issuer's preliminary, unaudited income statement. Product allocations and exact shipment/FX indices remain proxies. Later quarters are probability-weighted Model.

1. Thesis, bottleneck and expanded TAM

Nanya designs and manufactures DRAM for PCs, communications, consumer devices, industrial/automotive uses and a growing server/AI infrastructure base. It sells the volatile working-memory component; it is neither Nanya PCB nor a NAND manufacturer. Framework DB6 is the principal cycle, with DB1 networking and physical-AI adoption widening applications.

Large DRAM suppliers allocating advanced capacity to HBM and premium products reduce supply available to mature-node and specialty customers. Nanya benefits through contract repricing and technology conversion. The immediate earnings mechanism is price on constrained existing output, followed by more bits. HBM industry growth is an indirect supply-allocation tailwind, not proof that Nanya sells leading accelerator HBM.

Qualification, process know-how and a functioning wafer fab are real barriers. They are not a permanent sole-source position: added industry capacity, alternative DRAM suppliers and customer product redesign can remove scarcity. Current pricing is a bottleneck phase of the S-curve; 1C/1D/1E and customized AI memory are earlier technology transitions. Do not treat a peak commodity margin as an irreversible structural floor. [N2,N3]

The 2025 Annual Report Market Status and risk sections identify Samsung, SK hynix, Micron and CXMT alongside Nanya. Its 2025 share was about 1.4%; that stale historical share is not multiplied by a 2030 all-memory TAM. CXMT capacity and product overlap are explicit competitive threats. The named competitor screen establishes no verified overlooked listed sub-$2B monopoly. Nanya needs reliable qualification and niche customer retention as well as cost reduction. [N6]

TAM expansion and S-curve

Phase	Economic exposure	Model treatment
Phase 1: current computing and AI infrastructure	DRAM working memory in servers, eSSD controllers, networking, PCs and devices	100% weight to established demand; do not count an entire eSSD as Nanya NAND revenue.
Phase 2: physical AI, 2026-30	Low-power/custom memory for edge inference, industrial control, robotics and vehicles	50% conceptual confidence; product mix within the DRAM pool, not an added memory market.
Phase 3: ubiquitous compute, 2028+	Customized low-power/high-bandwidth memory for new embedded architectures	20% conceptual confidence; no separately verified dollar TAM or unannounced design-win revenue.

Demand-side Plan B uses Q2 DRAM revenue x qualified bit-volume index x realized-ASP index, calibrated to 82,522.846 with zero anchor error. Customer-specific capex, purchase quantities and wallet shares are not disclosed; multiplying aggregate hyperscaler capex by an invented Nanya share would overstate evidence. Management identifies AI/server demand above 20% of sales and a high-teens 2026 bit-growth goal. Monthly revenue then constrains near-term recognition. The annual report cites approximately 16-20% industry bit-demand growth in 2026-29; model volume growth is tested against that range and disclosed fab timing, rather than assumed to match it exactly. [N1,N2,N4,N6]

2. Latest evidence and financial anchor

The newest October 12 presentation and release anchor Q3 2026. The July 10 presentation provides the prior-quarter context. An accessible reproduction of management's October 12 English call was read, but its page footer claims partial coverage despite displaying the closing remarks; original issuer-hosted audio was not independently verified. Transcription errors include an apparent 113.6B revenue misstatement against the issuer's 133.649B table. Official financial tables control numeric facts. Attributed Q&A context remains labeled. [N9,N10,N2]

Q3 2026 revenue is TWD 133,649M, gross profit 114,482M, R&D 5,145M, SG&A 2,443M and operating profit 106,894M. The prior monthly sum 133,648.966M differs by only 0.034M due to presentation rounding; the new report supplies the previously estimated profit and costs. These self-calculated figures are preliminary, not accountant-reviewed. DRAM ASP increased more than 60% QoQ, bit shipments decreased mid-single-digit percent and FX was favorable by low-single-digit percent. The issuer attributes most pricing improvement to renewals of earlier low-priced agreements. A precise shipment decline/FX decomposition is not disclosed. [N9]

NANYA

2026 年第 3 季財務摘要

單位：新台幣佰萬元 每股盈餘、每股淨值除外	Q3'26 (尚未經會計師核閱)		Q2'26		較上季比	Q3'25		較去年同期比
營業收入	133,649		82,549		61.9%	18,779		611.7%
營業毛利 (損) 毛利率 (%)	114,482	85.7%	65,619	79.5%	74.5%	3,465	18.5%	3204.1%
營業淨利 (損) 營業淨利率 (%)	106,894	80.0%	60,826	73.7%	75.7%	1,119	6.0%	9451.3%
稅前息前折舊攤銷前利益 稅前息前折舊攤銷前利益率 (%)	*110,002	82.3%	63,786	77.3%	72.5%	4,731	25.2%	2225.2%
業外收入 (支出)	2,438	1.8%	1,503	1.8%		904	4.8%	
所得稅利益 (費用)	-21,705	-16.2%	-12,138	-14.7%		-460	-2.4%	
本期淨利 (損) 淨利率 (%)	87,627	65.6%	50,192	60.8%	74.6%	1,563	8.3%	5505.1%
每股盈餘 (元)	**25.40		14.66			0.50		
每股淨值 (元)	***118.99		93.49			50.78		

* 稅前息前折舊攤銷前利益=營業淨利+ 折舊及攤銷費用
** Q3'26每股盈餘依加權平均流通在外股數3,450佰萬股計算
*** Q3'26每股淨值依流通在外股數3,450佰萬股計算

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Nanya issuer Q3 financial summary, slide5; original supplied via QQ_Timmy October 12. TWD million, unaudited.

The tiny existing Other pool 26.130613M and 30% GP proxy are retained; DRAM is the residual reported revenue/GP. This is a modeling allocation, not reported segment disclosure. A 5% Q3 bit decline proxy, bounded 3-7%, gives index 0.95 versus Q2=1. Under neutral FX the Q3 DRAM ASP index solves the reported revenue at 1.704445. It is a calibration proxy, not a disclosed contract index. All future absolute ASP levels and prior price branches remain unchanged; no retrospective 60% price gain is added again.

The issuer states broadly flat shipments until new-fab output starts in Q4 2027, followed by gradual growth. Its Mandarin slides 15-16 discuss customer shipments, not merely wafer-start capacity; actual shipment comparisons elsewhere are in bits. Applying that forward statement to a bit-index curve is a labeled semantic inference. The existing rising pre-fab bit path is adjusted through one joint shipment/cost outcome, while later accepted-output increments remain. Equipment move-in is Q1 2027, capacity goals of 30,000 wafers/month by end 2028 and 50,000 by end 2030. These are exit-capacity milestones, not annual qualified good-bit sales. [N9]



Nanya operations outlook, slide 16. Flat shipments before Q4 2027 output; capacity milestones / AI application mix. Original source image retained.

Balance sheet and capital allocation

Q3 cash and equivalents are 288,507M, long-term debt approximately 18,400M and net cash approximately 270.1B. Operating cash flow in the reconciled source table is 96,017M and capex 20,783M, yielding free cash flow 75,234M. The source bar reads 96,107M, a 90M inconsistency; the table reconciles beginning 217,603+96,017-20,783-4,330=288,507. No net-cash addition is made to the protected direct 6x OP/share method. [N9]

Approved 2026 capex is capped at 69.7B, with Q1-Q3 spending of 27.6B. This was authorized August 5, raising the old 52B ceiling mainly for equipment prepayments; it is redisclosed in October, not a fresh October demand event. Phase-one 2026-29 capex of 346.6B targets35,900 monthly wafer starts. The updated 2030 full-capacity goal of 50,000 differs from the earlier 45,000 design description, but no extra output is added solely from that nameplate change. Ping Tung 3D packaging/test plans, TSV and wafer-stacking capabilities support future qualification; no separate chip-revenue pool or undisclosed capex/depreciation increment is inserted. [N9,N11]

Retained October 3 case: a bounded probability of firmer 2028 prices

At the October 3 cutoff, the Q4 2027 ceiling rose from TWD 1,224.54 to **TWD 1,233.05 (0.69%)**. These historical values isolate the retained 2028 branch before the separate October 7 update. Analytical and protected Excel Base remain 75 and 75. The 6x operating-profit basis, shares, production volumes, cost-per-bit path and existing qualification probabilities remain unchanged. That dated October 3 decision changed price persistence only. The retained pricing levels now feed the October 12 joint shipment/cost model.

The supplied Goldman-attributed chart forecasts DRAM supply balances of -5.0%/-5.9%/-3.9% in 2026/27/28 and NAND -4.4%/-4.6%/-3.0%. These are forecasts, not measured future shortages; the original note date and balance denominator are not visible. A supply deficit is not a price-change percentage. The active probability is **30% DRAM**, a subjective judgment with company scope and counterevidence, not an observed event frequency. Credible breadcrumbs can affect current model inputs before official confirmation.

Exhibit 18: Global token consumption could increase 24x above current usage by 2030 driven by consumer and enterprise AI agents

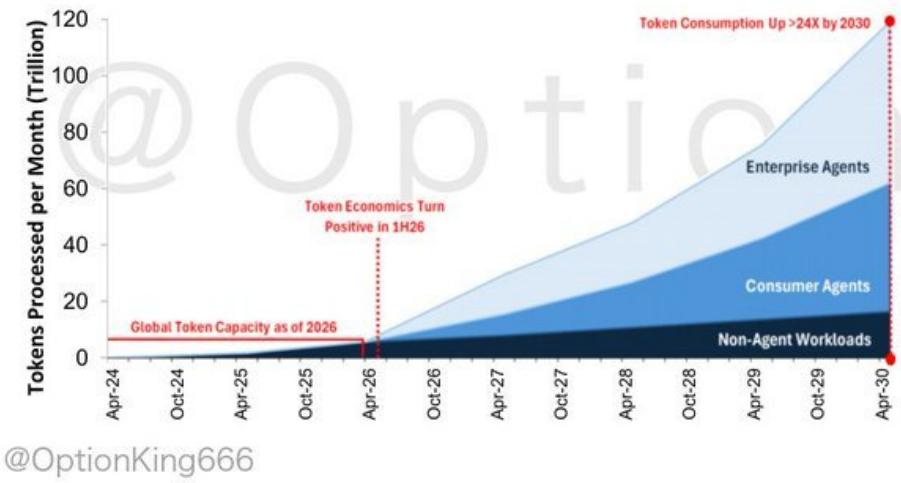
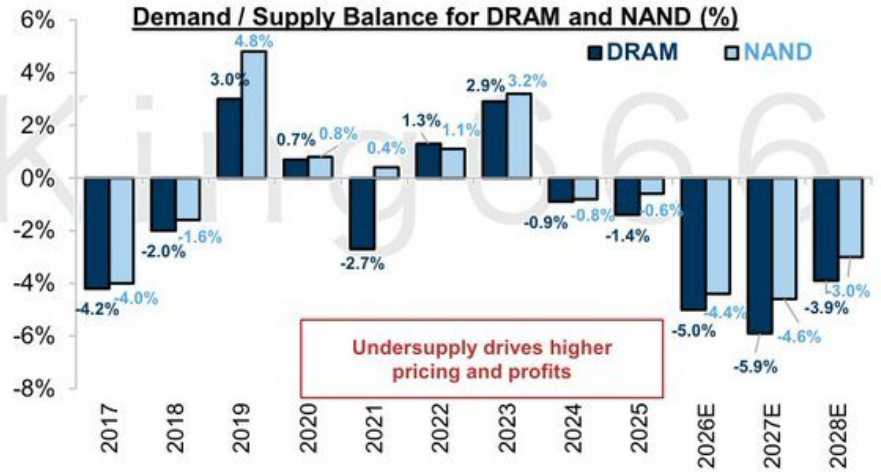


Exhibit 19: Record memory undersupply is likely to intensify further in 2027 and remain well short of demand in 2028 and likely in 2029-30 as well



Supplied Goldman-attributed exhibits: token-use outlook and DRAM/NAND supply balances. Original note date not visible. The token chart crop says trillion; Goldman public text dated May 20, 2026 says 120 quadrillion tokens/month by 2030. Use the 24x ratio without treating it as 24x memory revenue. (B1,B3)

The token forecast was already public in May; it is not a new October demand upgrade. Persistent agents can increase working memory and retained state, but tokens, concurrent users, deployed storage and annual NAND shipments have different units. No token multiplier, additional HBM revenue or extra 2026/27 ASP increase is added here.

Exhibit 37: Outlook for Greenfield Investments by Major Memory Makers

Capacity (year end)	CY2019	CY2020	CY2021	CY2022	CY2023	CY2024	CY2025	CY2026	CY2027	CY2028
China memory majors	**20**	**85**	**135**	**162**	**242**	**340**	**440**	**555**	**735**	**920**
Δcapacity		65	50	27	80	98	100	115	180	185
y-y			-23%	-46%	196%	23%	2%	15%	57%	3%
Global majors' DRAM	**1,200**	**1,275**	**1,380**	**1,485**	**1,538**	**1,600**	**1,625**	**1,785**	**2,165**	**2,615**
Δcapacity		75	105	105	53	62	25	160	380	450
y-y			40%	0%	-50%	17%	-60%	540%	138%	18%

Source: Trendforce, Morgan Stanley Research estimates

Supplied capacity table, attributed to TrendForce and Morgan Stanley Research. Unit, report date, China product split and overlap with global DRAM are unresolved. Capacity additions are counterevidence to prolonged scarcity, not immediately qualified good-bit output. (B2)

China's displayed year-end capacity rises 555 to 735 to 920 in 2026/27/28, while major-producer DRAM rises 1785 to 2165 to 2615. That is 32.4%/25.2% China level growth and 21.3%/20.8% for the DRAM series. The chart's larger percentage rows concern growth in annual additions. China memory may include NAND; the global line is DRAM. No share or combined capacity is calculated from mismatched scopes.

TrendForce's September 30 primary research still places Q4 2026 NAND at +15-20%, which already overlaps the existing upper-end benchmark. Enterprise SSD demand is stronger than consumer demand, and some LTAs delay pricing transmission. The supplied podcast summary adds shared-agent resources, memory efficiency, potential overordering and possible demand rebound as counterevidence; it does not establish a measured net demand reduction. The episode publisher confirms the interview/date, but the detailed paraphrase was not independently audio-verified. [B4-B6]

The previous UBS HBM table remains specifically on hold. It supplies no input to this revision. The active probabilities reflect the deficit forecast together with China supply, customer demand, contract transmission and efficiency uncertainties. They may rise with firmer company renewal pricing and lagging qualified supply, or fall with inventories, customer substitution, successful competitor qualification and lower-memory architectures.

3. Base score and evidence ledger

Category	Score	Evidence
Core Thesis /20	15	Qualified DRAM manufacturing and constrained supply; substitutable and exposed to major rivals.
Cycle Stage /10	9	Contract repricing already recognized; volume capacity follows later.
TAM Expansion /10	8	A memory primitive serving infrastructure and physical AI, with credible custom/low-power paths.
Catalysts /5	5	Monthly revenue, 2026 contract reset, 2027 tools and 2028 capacity entering forward windows.
Macro /10	9	AI memory allocation supports specialty scarcity; consumer demand remains price-sensitive.
Alpha /5	3	Local monthly and contract-reset evidence improves timing; major industry narrative is well known.
Risks	-4	Competition, execution, cycle/customer demand and capital commitments.
Total	45/60 = 75%	High Conviction

45/60 = 75% remains the analytical Base; the protected Excel Base is unchanged. Taiwan location alone receives no penalty. No governance penalty or prepayment bonus is asserted without specific evidence.



Nanya Q4 DRAM supply/demand outlook, slide 13. Longer qualification / equipment timing supports shortages; down-specification / recycled parts are counter-evidence.

4. Quarterly operating model

One active probability-weighted operating case contains 18 quarters and 15 complete ceilings. DRAM and the immaterial Other pool are the two available revenue vectors. Ordinary depreciation remains in production cost. Q3 is preliminary actual; later periods are low-confidence models.

Active joint shipment and cost ledger

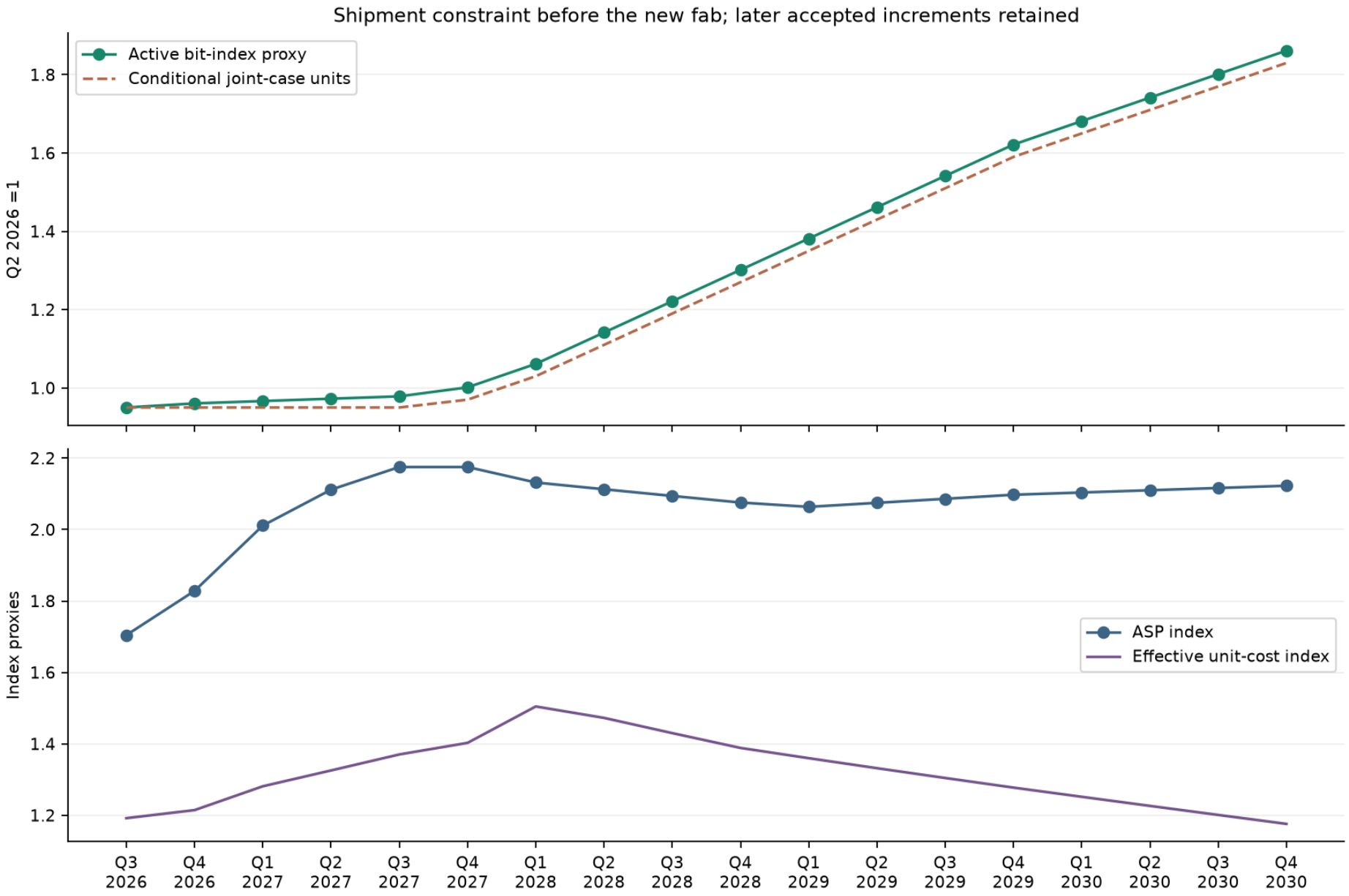
The subjective probability of the defined joint constraint/cost outcome is 85%, with 15% retaining the prior operating path. The weight reflects direct issuer shipment guidance, low inventory, a dated new-fab timetable and newly reported expenses; the magnitude, cost split and early qualified output remain proxies. It is not a global earnings haircut. The conditional bit index is 0.95 through Q3 2027 and0.97in Q4 2027, comprising a 2%-index first accepted-output addition bounded 0-4%. From 2028 the conditional volume is the previous volume minus 0.21: old Q4 2027 base 1.18 less new 0.97. Existing absolute future increments, including their 80% qualified-output weight, are retained once. The path continues growing after the new fab begins; it is not frozen indefinitely.

Q3 DRAM COGS is the reported total less retained Other COGS. The calibration factor is 1.131655858, calculated from actual DRAM COGS 19,148.708570 divided by previous 17,354.835356 times(50% fixed+50%x0.95 volume). The 50/50 cost split is an illustrative assumption, not issuer classification. Forward conditional COGS equals previous COGS x calibration x[50% fixed+50%x(conditional bits / prior bits)]. Only half of matched production costs are avoided on reduced units; fixed costs remain. Existing relative learning/commissioning costs persist; no second D&A charge is layered on top.

Conditional R&D/SG&A ratios equal their previous future ratios plus the observed Q3 ratio difference. Each scenario's expense amount is calculated using its own revenue and then weighted 85/15. Multiplying separately weighted revenue and ratios would distort their correlation. Reported Q3 financials enter at 100%, with no 85% haircut. Effective displayed ratios/cost indices are derived from those coherent weighted amounts.

The existing price schedule is retained in absolute levels. The earlier Q4 reset case used a 20% reported maximum versus 10% already modeled, on 50% eligible sales at 50% realization. Its incremental level is retained through 2027, halved in 2028 and removed from 2029. The original 30% 2028 retention branch remains on its own unchanged reference/conditional prices. After the Q3 actual calibration, the old 12.5% blended reset label describes that original reference construction, not a new issuer forecast relative to the re-estimated Q3 index. No probability is reapplied to its economic contribution.

Physical and commercial drivers



Shipment, ASP and effective cost indices. Q2 2026 = 1; exact Q3 bit decline, FX and cost split are proxies, not measured issuer indices. Future ASP levels and qualified capacity increments retained.

Quarter	Status	Bit-index proxy	ASP-index proxy	Effective cost index	DRAM GM
Q3 2026	Preliminary	0.950000	1.704445	1.191883	85.67%
Q4 2026	Model	0.960500	1.828344	1.214480	86.39%
Q1 2027	Model	0.966500	2.011179	1.281209	86.94%
Q2 2027	Model	0.972500	2.111738	1.325522	87.14%
Q3 2027	Model	0.978500	2.175090	1.370322	87.09%
Q4 2027	Model	1.001500	2.175090	1.402715	86.78%
Q1 2028	Model	1.061500	2.131738	1.504669	85.54%
Q2 2028	Model	1.141500	2.112799	1.472679	85.72%
Q3 2028	Model	1.221500	2.094100	1.430048	86.01%
Q4 2028	Model	1.301500	2.075640	1.388558	86.29%
Q1 2029	Model	1.381500	2.063523	1.359835	86.50%
Q2 2029	Model	1.461500	2.074781	1.331821	86.85%
Q3 2029	Model	1.541500	2.086093	1.304407	87.19%
Q4 2029	Model	1.621500	2.097459	1.277504	87.52%
Q1 2030	Model	1.681500	2.103740	1.251768	87.81%
Q2 2030	Model	1.741500	2.110033	1.226273	88.09%
Q3 2030	Model	1.801500	2.116336	1.200996	88.37%
Q4 2030	Model	1.861500	2.122650	1.175914	88.65%

Qualification and product allocation

New-fab output is part of the same DRAM volume pool, with an 80% qualification/ramp weight already embedded in the existing absolute increments. The 85% joint constraint shifts the existing-output baseline, without weighting those increments a second time. AI/WoW products are within these bits and do not earn an invented premium ASP.

Period	Prior existing base	Conditional existing base	New-fab conditional increments	Already embedded qualification weight
2026 toQ3 2027	1.00to1.14	0.95	None	No separatefaboutput
Q4 2027	1.18	0.97	0.02firstaccepted-outputproxy	Withinjoint85%case
2028	1.20	0.99	0.05/0.15/0.25/0.35	80%
2029	1.28	1.07	0.35/0.45/0.55/0.65	80%
2030	1.40	1.19	0.575/0.650/0.725/0.800	80%

Vector revenue, gross margin and gross profit

For each row: vector gross profit = vector revenue x its own gross margin. The following tables expose the inputs; they are analyst model assumptions unless explicitly identified as reported or guided.

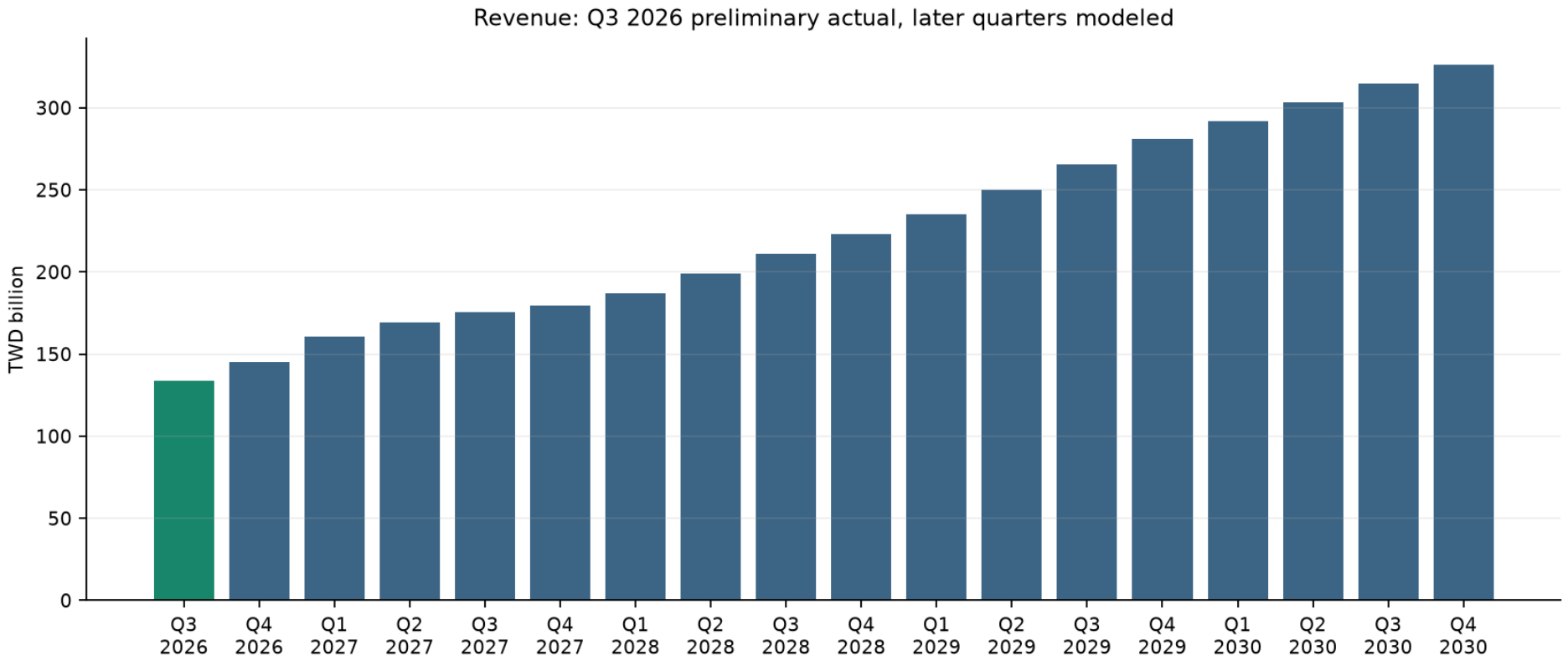
DRAM

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	133,622.87	85.67%	114,474.16
Q4 2026	144,920.42	86.39%	125,193.02
Q1 2027	160,408.27	86.94%	139,466.95
Q2 2027	169,474.29	87.14%	147,674.17
Q3 2027	175,635.48	87.09%	152,959.51
Q4 2027	179,763.86	86.78%	156,006.26
Q1 2028	186,736.01	85.54%	159,724.84
Q2 2028	199,025.26	85.72%	170,595.96
Q3 2028	211,088.77	86.01%	181,547.67
Q4 2028	222,930.97	86.29%	192,368.35
Q1 2029	235,252.61	86.50%	203,482.45
Q2 2029	250,233.46	86.85%	217,315.94
Q3 2029	265,369.76	87.19%	231,365.06
Q4 2029	280,662.60	87.52%	245,630.89
Q1 2030	291,919.58	87.81%	256,323.44
Q2 2030	303,240.31	88.09%	267,124.85
Q3 2030	314,624.93	88.37%	278,035.30
Q4 2030	326,073.60	88.65%	289,054.92

Other revenue

Quarter	Revenue	Gross margin	Gross profit
Q3 2026	26.13	30.00%	7.84
Q4 2026	26.23	30.00%	7.87
Q1 2027	27.54	30.00%	8.26
Q2 2027	27.54	30.00%	8.26
Q3 2027	27.54	30.00%	8.26
Q4 2027	27.54	30.00%	8.26
Q1 2028	28.85	30.00%	8.65
Q2 2028	28.85	30.00%	8.65
Q3 2028	28.85	30.00%	8.65
Q4 2028	28.85	30.00%	8.65
Q1 2029	30.16	30.00%	9.05
Q2 2029	30.16	30.00%	9.05
Q3 2029	30.16	30.00%	9.05
Q4 2029	30.16	30.00%	9.05
Q1 2030	31.47	30.00%	9.44
Q2 2030	31.47	30.00%	9.44
Q3 2030	31.47	30.00%	9.44
Q4 2030	31.47	30.00%	9.44

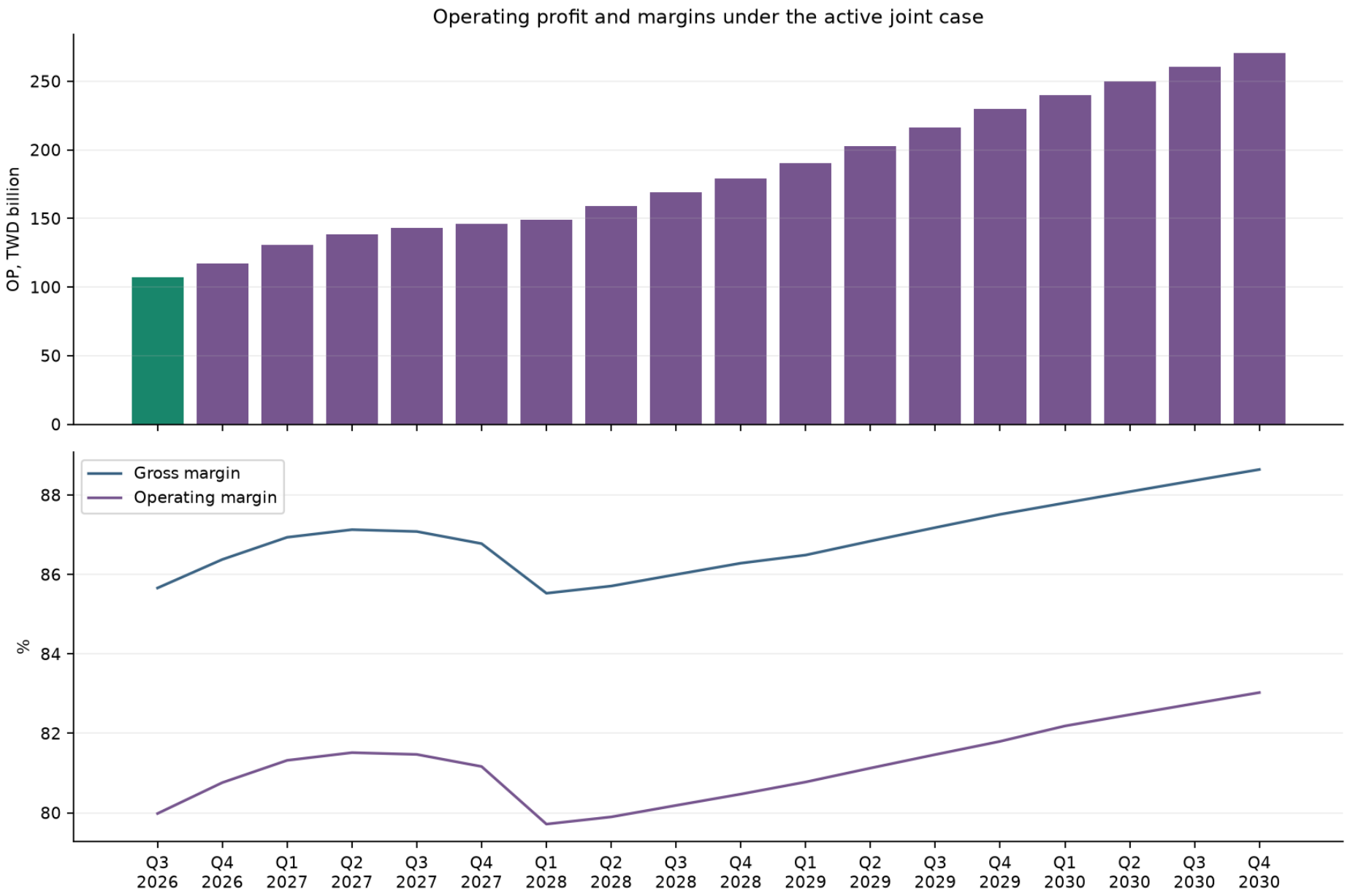
Revenue and earnings charts



Current revenue: preliminary Q3 actual, later 85%-weighted joint case. TWD billions; source/modeled numbers reconcile to the table below.

Quarter	Status	Revenue TWDm
Q3 2026	Preliminary	133,649.00
Q4 2026	Model	144,946.65
Q1 2027	Model	160,435.81
Q2 2027	Model	169,501.82
Q3 2027	Model	175,663.02
Q4 2027	Model	179,791.40

Quarter	Status	Revenue TWDm
Q1 2028	Model	186,764.86
Q2 2028	Model	199,054.11
Q3 2028	Model	211,117.61
Q4 2028	Model	222,959.82
Q1 2029	Model	235,282.77
Q2 2029	Model	250,263.62
Q3 2029	Model	265,399.92
Q4 2029	Model	280,692.77
Q1 2030	Model	291,951.06
Q2 2030	Model	303,271.78
Q3 2030	Model	314,656.40
Q4 2030	Model	326,105.07



Current operating profit and margins. Reported Q3 and modeled later quarters include retainedfixed costs and coherent scenario expenses.

Combined quarterly earnings

Quarter	Status	Revenue	Gross profit	R&D	SG&A	Other opex	OP	OP margin
Q3 2026	Preliminary	133,649.00	114,482.00	5,145.00	2,443.00	0.00	106,894.00	79.98%
Q4 2026	Model	144,946.65	125,200.89	5,499.19	2,643.07	0.00	117,058.63	80.76%
Q1 2027	Model	160,435.81	139,475.21	6,083.92	2,925.27	0.00	130,466.02	81.32%
Q2 2027	Model	169,501.82	147,682.44	6,424.65	3,090.33	0.00	138,167.45	81.51%
Q3 2027	Model	175,663.02	152,967.78	6,655.06	3,202.41	0.00	143,110.31	81.47%
Q4 2027	Model	179,791.40	156,014.52	6,810.22	3,277.57	0.00	145,926.73	81.16%
Q1 2028	Model	186,764.86	159,733.50	7,448.88	3,404.78	0.00	148,879.84	79.72%
Q2 2028	Model	199,054.11	170,604.61	7,940.25	3,628.91	0.00	159,035.45	79.90%
Q3 2028	Model	211,117.61	181,556.33	8,422.60	3,848.93	0.00	169,284.80	80.19%
Q4 2028	Model	222,959.82	192,377.01	8,896.09	4,064.91	0.00	179,416.00	80.47%
Q1 2029	Model	235,282.77	203,491.50	9,153.48	4,289.66	0.00	190,048.37	80.77%
Q2 2029	Model	250,263.62	217,324.99	9,737.22	4,562.86	0.00	203,024.91	81.12%
Q3 2029	Model	265,399.92	231,374.11	10,327.02	4,838.90	0.00	216,208.18	81.47%
Q4 2029	Model	280,692.77	245,639.94	10,922.93	5,117.80	0.00	229,599.21	81.80%
Q1 2030	Model	291,951.06	256,332.88	11,069.69	5,323.11	0.00	239,940.08	82.19%
Q2 2030	Model	303,271.78	267,134.30	11,499.51	5,529.57	0.00	250,105.22	82.47%
Q3 2030	Model	314,656.40	278,044.74	11,931.75	5,737.19	0.00	260,375.80	82.75%
Q4 2030	Model	326,105.07	289,064.36	12,366.43	5,945.98	0.00	270,751.95	83.03%

Quarterly drivers and confidence

Calendar / fiscal	Status	Revenue	OP margin	OP	Main driver	Confidence
Q3 2026 /FQ3 FY2026	Preliminary	133,649.00	79.98%	106,894.00	Reported Q3	HIGHreported totals / LOWindices
Q4 2026 /FQ4 FY2026	Model	144,946.65	80.76%	117,058.63	Jointshipment/costcase; retainedpricing	LOW
Q1 2027 /FQ1 FY2027	Model	160,435.81	81.32%	130,466.02	Jointshipment/costcase; retainedpricing	LOW
Q2 2027 /FQ2 FY2027	Model	169,501.82	81.51%	138,167.45	Jointshipment/costcase; retainedpricing	LOW
Q3 2027 /FQ3 FY2027	Model	175,663.02	81.47%	143,110.31	Jointshipment/costcase; retainedpricing	LOW
Q4 2027 /FQ4 FY2027	Model	179,791.40	81.16%	145,926.73	Jointshipment/costcase; retainedpricing	LOW
Q1 2028 /FQ1 FY2028	Model	186,764.86	79.72%	148,879.84	Acceptednewfabgrowth; retainedpricing	LOW
Q2 2028 /FQ2 FY2028	Model	199,054.11	79.90%	159,035.45	Acceptednewfabgrowth; retainedpricing	LOW
Q3 2028 /FQ3 FY2028	Model	211,117.61	80.19%	169,284.80	Acceptednewfabgrowth; retainedpricing	LOW
Q4 2028 /FQ4 FY2028	Model	222,959.82	80.47%	179,416.00	Acceptednewfabgrowth; retainedpricing	LOW
Q1 2029 /FQ1 FY2029	Model	235,282.77	80.77%	190,048.37	Acceptednewfabgrowth; retainedpricing	LOW
Q2 2029 /FQ2 FY2029	Model	250,263.62	81.12%	203,024.91	Acceptednewfabgrowth; retainedpricing	LOW
Q3 2029 /FQ3 FY2029	Model	265,399.92	81.47%	216,208.18	Acceptednewfabgrowth; retainedpricing	LOW
Q4 2029 /FQ4 FY2029	Model	280,692.77	81.80%	229,599.21	Acceptednewfabgrowth; retainedpricing	LOW
Q1 2030 /FQ1 FY2030	Model	291,951.06	82.19%	239,940.08	Acceptednewfabgrowth; retainedpricing	LOW

Calendar / fiscal	Status	Revenue	OP margin	OP	Main driver	Confidence
Q2 2030 /FQ2 FY2030	Model	303,271.78	82.47%	250,105.22	Acceptednewfabgrowth; retainedpricing	LOW
Q3 2030 /FQ3 FY2030	Model	314,656.40	82.75%	260,375.80	Acceptednewfabgrowth; retainedpricing	LOW
Q4 2030 /FQ4 FY2030	Model	326,105.07	83.03%	270,751.95	Acceptednewfabgrowth; retainedpricing	LOW

Annual trajectory cross-check

The calendar-bucket sums below are a capacity and demand cross-check; quarterly windows remain the live valuation method. Years beyond the latest guidance are model extensions, not company guidance.

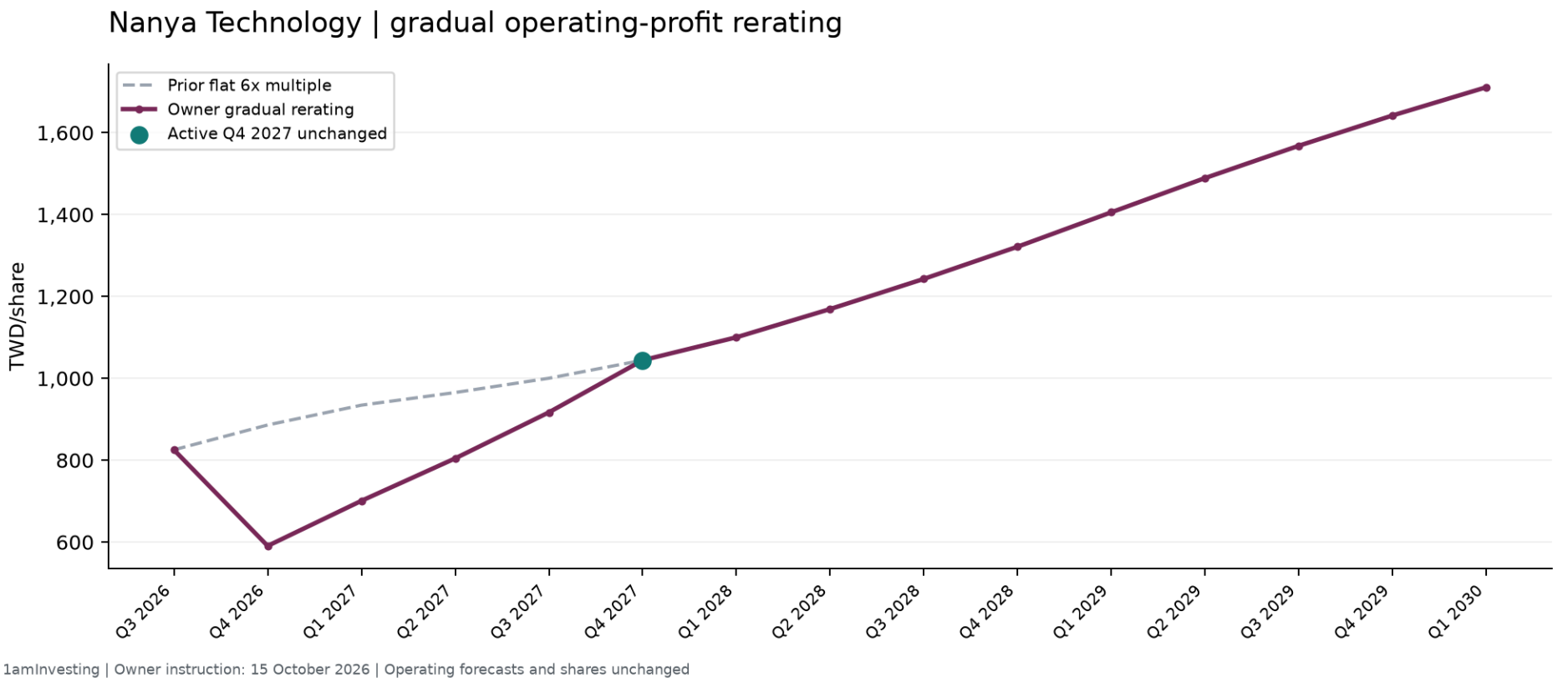
Year	Revenue	Operating profit	OP margin
2027	685,392.05	557,670.50	81.37%
2028	819,896.40	656,616.09	80.09%
2029	1,031,639.07	838,880.67	81.32%
2030	1,235,984.31	1,021,173.05	82.62%

2027 growth is now predominantly retained pricing and annualization, with constrained existing shipments ahead ofQ4 new-fab output. Qualified new-fab bits resume the volume ramp thereafter. Capacity/installation and accepted good bits remain distinct. Extremely high model margins remain conditional on pricing; a 10% ASP fall at unchanged units / production costs lowers GP nearly dollar for dollar before variable opex. The joint case explicitly retains fixed costs, compensation and commissioning burden. Broad all-memory TAM includes NAND / HBM and is not Nanya addressable revenue.

5. Forward four-quarter ceiling and derivations

The October 15 owner schedule supersedes the September 21 flat 6x convention for the four early valuation quarters: 4x in Q4 2026, 4.5x in Q1 2027, 5x in Q2 2027, 5.5x in Q3 2027, then 6x from Q4 2027. The multiple is selected by the valuation quarter, not separately for each earnings quarter. The existing IFRS-style operating-profit basis and diluted-share denominator are unchanged.

The framework convention applies the operating-profit multiple directly to diluted equity shares. It is neither a net-income P/E nor an enterprise-value bridge. No separate net-cash addition, tax conversion, probability haircut or price-dependent ranking enters this ceiling. Any probability-weighted revenue is already included once in its operating vector.



Nanya Technology current ceiling path after the 15 October 2026 owner rerating. Four-quarter operating profit and shares are unchanged; Q4 2027 remains at 6x.

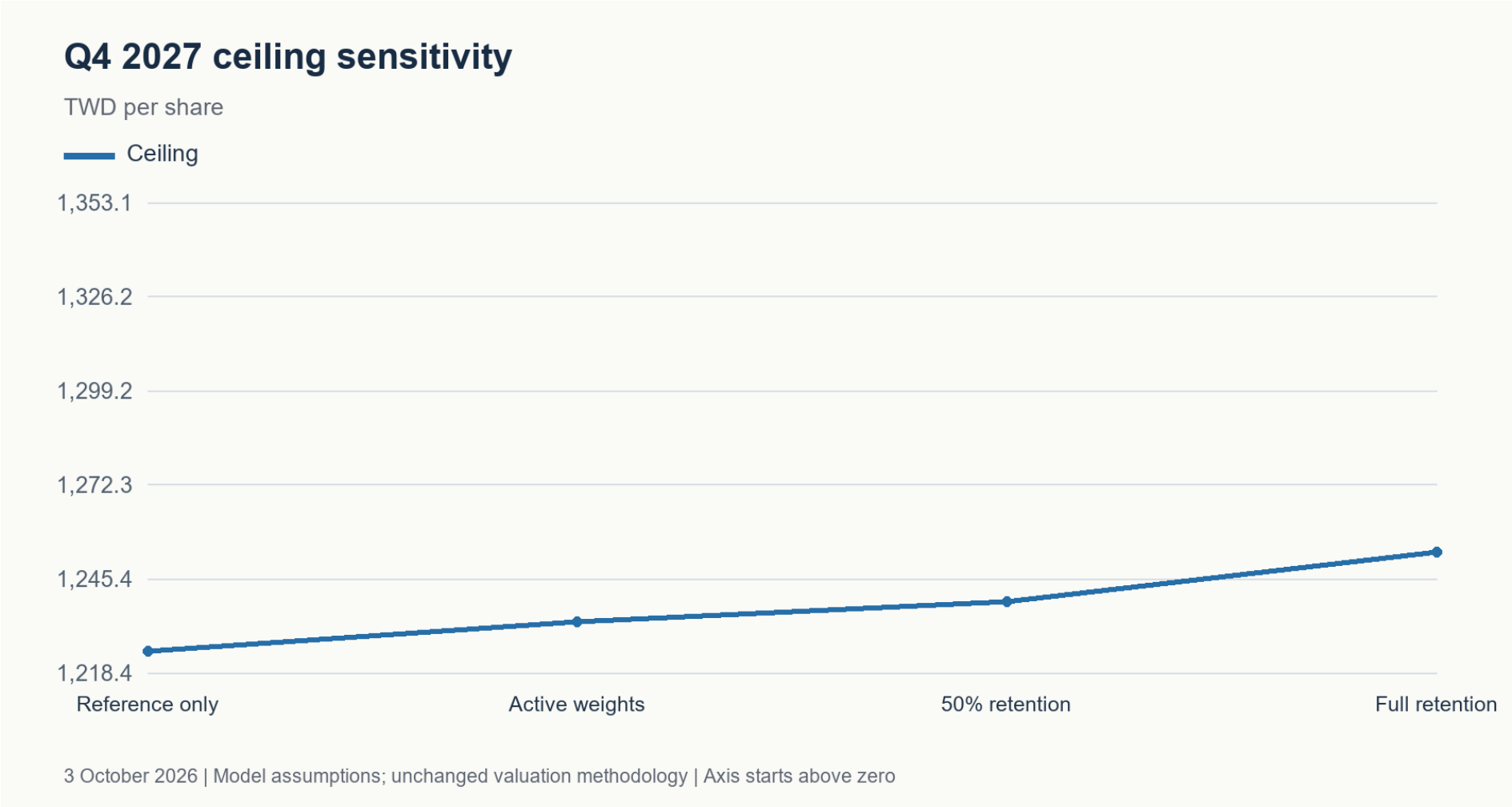
Ceiling quarter	Exact earnings window	Forward-4Q OP	Multiple	Diluted shares	Ceiling/share
Q3 2026	Q3 2026 to Q2 2027	492,586.10	6x	3,580.631	825.42
Q4 2026	Q4 2026 to Q3 2027	528,802.41	4x	3,580.631	590.74
Q1 2027	Q1 2027 to Q4 2027	557,670.50	4.5x	3,580.631	700.86
Q2 2027	Q2 2027 to Q1 2028	576,084.32	5x	3,580.631	804.45
Q3 2027	Q3 2027 to Q2 2028	596,952.32	5.5x	3,580.631	916.94
Q4 2027	Q4 2027 to Q3 2028	623,126.82	6x	3,580.631	1,044.16
Q1 2028	Q1 2028 to Q4 2028	656,616.09	6x	3,580.631	1,100.28

Ceiling quarter	Exact earnings window	Forward-4Q OP	Multiple	Diluted shares	Ceiling/share
Q2 2028	Q2 2028 to Q1 2029	697,784.62	6x	3,580.631	1,169.27
Q3 2028	Q3 2028 to Q2 2029	741,774.08	6x	3,580.631	1,242.98
Q4 2028	Q4 2028 to Q3 2029	788,697.46	6x	3,580.631	1,321.61
Q1 2029	Q1 2029 to Q4 2029	838,880.67	6x	3,580.631	1,405.70
Q2 2029	Q2 2029 to Q1 2030	888,772.38	6x	3,580.631	1,489.30
Q3 2029	Q3 2029 to Q2 2030	935,852.70	6x	3,580.631	1,568.19
Q4 2029	Q4 2029 to Q3 2030	980,020.31	6x	3,580.631	1,642.20
Q1 2030	Q1 2030 to Q4 2030	1,021,173.05	6x	3,580.631	1,711.16

Historical October 3 probability update (before the October 5 revenue reconciliation)

Historical ceiling quarter	Prior October 3 ceiling	Post October 3 ceiling	Historical change
Q3 2026	894.28	894.28	0.00%
Q4 2026	991.31	991.31	0.00%
Q1 2027	1,073.01	1,073.01	0.00%
Q2 2027	1,129.38	1,130.70	0.12%
Q3 2027	1,178.41	1,182.52	0.35%
Q4 2027	1,224.54	1,233.05	0.69%
Q1 2028	1,276.37	1,291.05	1.15%
Q2 2028	1,344.60	1,363.70	1.42%
Q3 2028	1,420.44	1,441.96	1.52%
Q4 2028	1,504.33	1,526.04	1.44%
Q1 2029	1,597.07	1,616.47	1.21%
Q2 2029	1,685.54	1,702.22	0.99%
Q3 2029	1,769.46	1,783.01	0.77%
Q4 2029	1,848.64	1,858.69	0.54%
Q1 2030	1,922.89	1,929.07	0.32%

Historical October 3 sensitivity, before the October 7 price revision



Q4 2027 ceiling sensitivity. TWD per share. Solid lines show model calculations, not company guidance.

Scenario	DRAM probability	SLC exposure	Q4 2027 ceiling
Reference only	0%	None	1,224.54
Active weights	30%	None	1,233.05

Scenario	DRAM probability	SLC exposure	Q4 2027 ceiling
50% retention	50%	None	1,238.72
Full retention	100%	None	1,252.90

These historical sensitivities isolate the retained October 3 branch before the October 7 revision; they are not the current total ceiling. They use the same Q4 2027 window, share basis and 6x multiple. They change only the stated retention probabilities. No multiple expansion, extra share repurchase or additional unit growth is assumed.

Recognition timing by ceiling

Ceiling quarter	Key inflection entering the forward window
Q3 2026	Issuer preliminary revenue, GP and operating expenses reported
Q4 2026	Contract-price carry-through through Qualified DRAM volume
Q1 2027	Current-fab bits and renewal through Cost discipline
Q2 2027	Technology conversion through New-fab weighted volume; price normalization
Q3 2027	Qualified DRAM volume through New-fab weighted volume; price normalization
Q4 2027	Cost discipline through New-fab weighted volume; price normalization
Q1 2028	New-fab weighted volume; price normalization through New-fab weighted volume; price normalization
Q2 2028	New-fab weighted volume; price normalization through Conditional bit growth and yield
Q3 2028	New-fab weighted volume; price normalization through Conditional bit growth and yield
Q4 2028	New-fab weighted volume; price normalization through Conditional bit growth and yield
Q1 2029	Conditional bit growth and yield through Conditional bit growth and yield
Q2 2029	Conditional bit growth and yield through Conditional bit growth and yield
Q3 2029	Conditional bit growth and yield through Conditional bit growth and yield
Q4 2029	Conditional bit growth and yield through Conditional bit growth and yield
Q1 2030	Conditional bit growth and yield through Conditional bit growth and yield

Complete derivation for every ceiling quarter

Q3 2026: (106,894.000000 + 117,058.631419 + 130,466.019424 + 138,167.449661) x6 /3,580.630900 =TWD825.417834. Exact operating-profit window Q3 2026 throughQ2 2027.

Q4 2026: (117,058.631419 + 130,466.019424 + 138,167.449661 + 143,110.306557) x 4 /3,580.630900 =TWD590.736573. Exact operating-profit window Q4 2026 through Q3 2027.

Q1 2027: (130,466.019424 + 138,167.449661 + 143,110.306557 + 145,926.727674) x 4.5 /3,580.630900 =TWD700.858965. Exact operating-profit window Q1 2027 throughQ4 2027.

Q2 2027: (138,167.449661 + 143,110.306557 + 145,926.727674 + 148,879.840098) x 5 /3,580.630900 =TWD804.445278. Exact operating-profit window Q2 2027 throughQ1 2028.

Q3 2027: (143,110.306557 + 145,926.727674 + 148,879.840098 + 159,035.449428) x 5.5 /3,580.630900 =TWD916.943933. Exact operating-profit window Q3 2027 throughQ2 2028.

Q4 2027: (145,926.727674 + 148,879.840098 + 159,035.449428 + 169,284.802347) x6 /3,580.630900 =TWD1,044.162613. Exact operating-profit window Q4 2027 through Q3 2028.

Q1 2028: (148,879.840098 + 159,035.449428 + 169,284.802347 + 179,415.999742) x6 /3,580.630900 =TWD1,100.279995. Exact operating-profit window Q1 2028 throughQ4 2028.

Q2 2028: (159,035.449428 + 169,284.802347 + 179,415.999742 + 190,048.365559) x6 /3,580.630900 =TWD1,169.265367. Exact operating-profit window Q2 2028 throughQ1 2029.

Q3 2028: (169,284.802347 + 179,415.999742 + 190,048.365559 + 203,024.907648) x6 /3,580.630900 =TWD1,242.977725. Exact operating-profit window Q3 2028 throughQ2 2029.

Q4 2028: (179,415.999742 + 190,048.365559 + 203,024.907648 + 216,208.183794) x6 /3,580.630900 =TWD1,321.606408. Exact operating-profit window Q4 2028 through Q3 2029.

Q1 2029: (190,048.365559 + 203,024.907648 + 216,208.183794 + 229,599.214675) x6 /3,580.630900 =TWD1,405.697535. Exact operating-profit window Q1 2029 throughQ4 2029.

Q2 2029: (203,024.907648 + 216,208.183794 + 229,599.214675 + 239,940.078539) x6 /3,580.630900 =TWD1,489.300198. Exact operating-profit window Q2 2029 throughQ1 2030.

Q3 2029: (216,208.183794 + 229,599.214675 + 239,940.078539 + 250,105.220826) x6 /3,580.630900 =TWD1,568.191848. Exact operating-profit window Q3 2029 throughQ2 2030.

Q4 2029: (229,599.214675 + 239,940.078539 + 250,105.220826 + 260,375.797056) x6 /3,580.630900 =TWD1,642.202738. Exact operating-profit window Q4 2029 through Q3 2030.

Q1 2030: (239,940.078539 + 250,105.220826 + 260,375.797056 + 270,751.949272) x6 /3,580.630900 =TWD1,711.161649. Exact operating-profit window Q1 2030 throughQ4 2030. The final three operating quarters support earlier four-quarter windows and have no standalone ceiling. Arithmetic uses unrounded inputs; displayed

components are rounded for readability.

Forward diluted denominator = period-end basic 3,450.2059M + Q2 dilutive employee options 121.276M + employee compensation 9.149M = 3,580.6309M. The reported Q2 weighted-average diluted 3,553.586M includes less than a full quarter of the April placement; using it unchanged would understate the current capital base. Flat future dilution is a modeling convention, not a repurchase promise. [N1]

Mechanical share sensitivity

Q1 2028 denominator	Ceiling/share
Current model	1,100.28
5% more shares	1,047.89
10% more shares	1,000.25

6. Cross-book relationships and monitoring

Nanya <-> MU/Samsung/SK hynix: HBM/DDR5 capacity allocation supports mature DRAM pricing; restored legacy output is a counter-signal.

Nanya <-> Winbond: shared specialty DRAM scarcity, different flash/custom mix. Compare company realized prices rather than applying one NAND index to both.

Nanya <-> SNDK/Kioxia: eSSD expansion can consume Nanya controller DRAM; the NAND chips and DRAM chips are distinct revenue pools.

Information processing: monthly data changes the price/recognition model; customer equity improves funding but causes dilution; no other portfolio Base is changed by this deep dive.

7. Scored risks and re-rate tests

Risk class	Score	Failure channel
Competition	-1	CXMT and incumbent production can normalize ASPs; qualification does not assure permanent scarcity.
Execution	-1	Process yields, commissioning, packaging and customer qualification can delay new bits.
Cycle / demand concentration	-1	A DRAM-dominated earnings stream is sensitive to contract renewal and downstream inventory.
Capital commitments / dilution	-1	Large fab spending and future equity compensation can lower cash returns and per-share earnings.

Dated triggers and counters

Checkpoint	Positive evidence	Counter / model action
1. September/October 2026 revenue	September reported 45,091.089M; Q3 monthly total incorporated	Monitor October contract pricing, bits and mix; monthly total alone does not separate those drivers.
2. Q3 2026 reporting	Gross profit converts the revenue step; no new inventory build	Reported Q3GP114,482M and OP 106,894M now anchor actuals. Subsequent cost / pricing tests revise the joint model.
3. 2027 tool installation / qualifications	Fab and 1C/customer milestones arrive on time	Delay shifts the incremental bit path; reduce 80% weight if a milestone fails.
4. 2028 production	Qualified phase-one output rises toward announced capacity	Only accepted bits enter revenue. Do not equate installed wafers with sold bits.
5. Each competitor/customer report	Tight supply and stable order commitments	Legacy supply restoration, customer destocking or renewals below assumed ASP cuts earnings immediately.

Issuer-hosted Q&A audio was not independently verified; accessible third-party call reproduction has partial footer / transcription caveats. Customer-level capex purchases and audited DDR-generation GP remain unavailable. No verified Yahoo HIGH-estimate series is used as a floor. Near-term Q3 nowhas issuer preliminary financials; future volume, mix, cost and price are conditional Plan-B estimates. LTA 50-70% coverage and 3-month to 3-year terms remain attributed Q&A context, with floor/ceilingpricing under discussion. No claim that all long contracts float uncapped. Precision in the tables is arithmetic. The next 12-16 months carry the principal decision weight; 2028-30 are LOW-confidence extensions.

8. Sources and snapshot

- **N8** - October 6, 2026, 23:59:39 Asia/Taipei. Economic Daily: attributed Nanya customer DRAM price notifications. Reported maximum 20% is not a company-wide realized ASP. Root-reviewed source supports the bounded October 7 price bridge; final product/customer coverage and acceptance remain unresolved.
- **N1** - August 2026. Nanya Q2 2026 reviewed consolidated financial statements. Actual revenue, gross profit, expenses and share dilution; values in TWD thousands converted to millions.
- **N2** - July 10, 2026. Nanya Q2 management presentation. Bit/price direction, supply, capex, fab timing and AI application mix; preliminary financials superseded by N1.
- **N3** - April 13, 2026. Nanya Q1 management presentation. Prior-quarter operating context, customer investment and technology roadmap.
- **N4** - September 2, 2026. August and July company monthly revenue. Unaudited July/August monthly actuals; the September assumption at that source cutoff is superseded by MONTHLY-202609.
- **N5** - August 2026. July company revenue release. Contract renewal timing and July step in revenue.
- **N6** - April 23, 2026. Nanya 2025 Annual Report, primary filing reproduced by FinancialFilings. Market Status, competitive threats and new-fab construction; historical 2025 share is not a current estimate.
- **N7** - September 21, 2026. Nanya dated market quote. TWD516 at September 21 14:30, header only.

- **U1** - Provided in this conversation. User-provided BofA memory outlook and TrendForce NAND outlook. BofA image supplied the reference 5% 2028 DRAM decline, now partially offset by the explicit active probability branch. NAND +23%/+20%/+15% is not a Nanya DRAM price schedule.
- **U2** - September 21, 2026. User valuation instruction. Use 6x operating profit for Nanya and Winbond; existing Base scores unchanged.
- **B1** - Supplied October 3, 2026. Goldman-attributed demand/supply image, embedded beside the analysis. Original report date and balance definition not recovered; forecast evidence, not measured future supply.
- **B2** - Supplied October 3, 2026. TrendForce / Morgan Stanley attributed year-end capacity crop, embedded above. Original date, unit and China/global product scope unresolved.
- **B3** - May 20, 2026. Goldman public token-demand discussion. Confirms 24x and 120 quadrillion tokens/month by 2030; receiving the chart later does not make it a fresh revision.
- **B4** - September 30, 2026. TrendForce primary Q4 memory outlook. DRAM/NAND pricing, enterprise/consumer differences and LTA transmission.
- **B5** - User-supplied P Equity Research podcast summary. Shared resources, efficiency, ordering risk and rebound remain attributed commentary, not measured company financial inputs.
- **B6** - September 21, 2026. Episode 166 publisher page. Interview identity/date and memory topic corroborated; no independent full-audio verification claimed.

Historical model baseline: October 3, 2026. The current numerical tables above are the October 12 model. 2408.TW. Framework 8.0. Base 45/60 (75%). Eighteen modeled operating quarters and fifteen complete forward-four-quarter ceilings. Current full PDF and synchronized Markdown: G:/My Drive/1amInvesting/Artifacts/2408TW_NanyaTechnology_DeepDive.pdf and .md. The companion company worksheet uses this same model and links its ceiling series to the master portfolio.

October 5 source register and synchronization record

MONTHLY-202609: TWSE-2408-REVENUE-202609, revision 1. Primary MOPS disclosure; company 2408, period2026-09, retrieved2026-10-05T11:30:37.430406+00:00. Source SHA-256: 1dc82de09bb4535cb3c851471ce94ecc63ce67985b2fe6ba90a662a98de482ed. The publication timestamp is not established from the monthly table. This current record supersedes September forecast-status wording while preserving earlier source cutoffs.

Historical synchronization snapshot: October 5, 2026; full original research retained. Master workbook sheet NANYA_Q_Model. Active Q4 2027 target TWD 1,233.047490; analytical Base 75, protected Excel Base 75. Quarterly revenue, profit and ceiling tables above use the staged, validated workbook values.

Current synchronization record

October 12, 2026. Q3 preliminary actuals and all 18 operating quarters / 15 ceiling windows use one model. The active joint case is 85%; before versions remain in the recoverable audit snapshot. 6x IFRS-style OP, 3,580.6309M forward diluted shares and both Base 75 remain unchanged.

Principal-driver numerical detail

Quarter	Conditional bits	Active bits	ASP	Effective cost index
Q3 2026	0.950000	0.950000	1.704445	1.191883
Q4 2026	0.950000	0.960500	1.828344	1.214480
Q1 2027	0.950000	0.966500	2.011179	1.281209
Q2 2027	0.950000	0.972500	2.111738	1.325522
Q3 2027	0.950000	0.978500	2.175090	1.370322
Q4 2027	0.970000	1.001500	2.175090	1.402715
Q1 2028	1.030000	1.061500	2.131738	1.504669
Q2 2028	1.110000	1.141500	2.112799	1.472679
Q3 2028	1.190000	1.221500	2.094100	1.430048
Q4 2028	1.270000	1.301500	2.075640	1.388558
Q1 2029	1.350000	1.381500	2.063523	1.359835
Q2 2029	1.430000	1.461500	2.074781	1.331821
Q3 2029	1.510000	1.541500	2.086093	1.304407
Q4 2029	1.590000	1.621500	2.097459	1.277504
Q1 2030	1.650000	1.681500	2.103740	1.251768
Q2 2030	1.710000	1.741500	2.110033	1.226273
Q3 2030	1.770000	1.801500	2.116336	1.200996
Q4 2030	1.830000	1.861500	2.122650	1.175914

Joint-case sensitivities

Changed control	Joint probability	Q3 decline	First Q4 accepted addition	Q4 2027 ceiling TWD
0% joint case	0%	5%	2%	1,252.797138
Active 85%	85%	5%	2%	1,044.162613
100% joint case	100%	5%	2%	1,007.344756
Q3 decline3%	85%	3%	2%	1,063.285944
Q3 decline7%	85%	7%	2%	1,025.033575
Q4 first growth0%	85%	5%	0%	1,026.634021
Q4 first growth4%	85%	5%	4%	1,061.691205

Sensitivity tests hold the valuation method, shares, future ASP levels and relative cost curve constant; each controls a coherent unit / cost / expense outcome. They are diagnostics, not extra active forecasts. The 0% joint control retains prior future forecasts while reported Q3 financials remain anchored. The 100% case prices the conditional outcome.50% fixedcostproxy is illustrative; all-fixed/all-avoidablecontrols are not issuer cost disclosures.

Latest source register

- **N9** - October 12, 2026. Issuer Q3 release, Mandarin 18-page presentation, English presentation. Preliminary financials, pages 5-9 / 18; shipments/capacity/ASP guidance, pages 11 / 13 / 15-16. Original webcast link found; no independently verified audio.
- **N10** - October 12, 2026. Public management-call reproduction. 49 speaker segments displayed through closing, but partial-coverage footer and ASR errors; quantitative financials use N9. Attributed LTA mix / price-term context, no guaranteed contract margin.
- **N11** - August 5, 2026. Issuer board capex decision. 52B to 69.7B 2026 budget and 346.6B 2026-29 phase-one authorization; older event redisclosed October 12.
- **RAML** - XDATA-20261012-0816-ET-RAML/R0. Three QQ_Timmy original images above were hash-verified. TrendForce-reposted original 2109577313679532497 image missing; no unsupported claim depends on it because N9 primary financials were independently retrieved.